EXECUTIVE SUMMARY

I. Introduction

The Municipality of Alcala was established as a regular municipality by virtue of a Royal Decree dated July 20, 1787 by the then Spanish Governor General of the Philippines in honor of its founder, Captain General Don Francisco Paulo de Alcala. It has twenty-five (25) Barangays and classified as a First (1st) class Municipality.

The enactment of Republic Act 7160, otherwise known as the "Local Government Code of 1991", extended the powers of the local government units to include not only the ability to create other sources of funds but also gave them total independence in managing, deciding and planning its own administrative and financial affairs in conformity with the national government's thrust for sustainable social and economic development.

II. Scope of Audit

The audit covered the accounts and operations of the Municipality of Alcala, Cagayan for CY 2025 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles and whether prevailing laws, rules and regulations have been complied with and whether government undertakings, systems, operations, programs, activities, or organizations are operating in accordance with the principles of economy, efficiency and effectiveness and whether there is room for improvement. Financial, compliance and performance audits were conducted to achieve these audit objectives.

III. Financial Highlights

The highlights of the financial position, results of operations, appropriations, allotments and obligations of the Municipality of Alcala for the year ended December 31, 2025, with comparative figures for CY 2024, are as follows:

Accounts	2025	2024	Increase (Decrease)
Financial Position			
Total Assets	P524,273,294.40	P574,679,455.47	**(P50,406,161.07)**
Liabilities	31,837,743.77	45,214,201.17	**(13,376,457.40)**
Total Government Equity	492,435,550.63	529,465,254.30	**(P37,029,703.67)**
Results of Operations			
Total Revenues	P245,651,940.81	P224,744,176.27	**P20,907,764.54**
Total Expenses	280,569,440.82	201,010,574.32	**79,558,866.50**
Net Income	(P 34,917,500.01)	P 23,733,601.95	**(P58,651,101.96)**

IV. Operational Highlights

The Municipality of Alcala had accomplished 100 percent of the developmental projects in CY 2025, with a total cost of P52,090,767.16, detailed as follows:

Project/Program/Activity Name	**Project Cost**
Construction of SLF Facility (Perimeter fence)	P 1,097,587.88
Continuation of Concreting - Zone 5-7 Piggatan (200meters)	1,997,761.64
Construction of Multi-purpose Gymnasium (Pussian)	999,463.99
Construction of Multi-purpose Gymnasium (Angkiray Elementary School)	997,003.17
Continuation of Baybayog "Dapun" Agri-Trading Center	7,334,542.21
Improvement of Integrated School (IS) Facility-Maraburab	496,892.50
Rehabilitation of Capacuan FMR	2,597,391.07
Rehabilitation of Dublon-Callao FMR	3,194,530.04
Rehabilitation of Damurog Perimeter Road	678,859.96
Rehabilitation of Agani SWIP-Demo Farm Connector Road	547,403.70
Rehabilitation of Zone 1 Pared FMR	651,033.89
Rehabilitation of Maraburab Integrated School Service Road	351,687.88
Rehabilitation of Zone 4 Calantac FMR	637,993.56
Rehabilitation of Dammang Alog FMR	3,258,729.74
Rehabilitation of Tupang - Centro Norte FMR	719,409.39
Rehabilitation of Minanga- Tejano FMR	1,355,251.85
Rehabilitation of Afusing Daga Access Road	778,778.39
Rehabilitation of Maduppa FMR	538,849.67
Rehabilitation of Zone 1 Afusing Daga FMR	1,149,563.84
Rehabilitation of Cabaruan Road	528,867.22
Rehabilitation Macabcabebe Road	4,425,893.05
Rehabilitation of San Esteban - Dublon SPIS Road	3,547,516.42
Rehabilitation of Calantac Zone 4 - NIA Road	2,149,468.65
Rehabilitation of Malamban FMR	1,472,062.56
Rehabilitation of Pagbangkeruan - Damurog FMR	2,998,381.76
Rehabilitation of Piggatan Access Road	843,010.02
LGU Counterpart for SGLGIF Project-Concreting of Zone 6 Jurisdiccion FMR	228,901.24
Installation of Streetlights	577,692.75
Rehabilitation of Cabuluan SWIP 2	2,998,726.67
Site for Rice Production Center (Lot Purchase)	2,937,512.45
Total	**P 52,090,767.16**

V. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Alcala for the year-ended December 31, 2025 due to various accounts, which are materially misstated by an aggregate amount of P7,008,145.24 on account of errors, omission and improper accounting treatment of transactions that are considered as departures from the IPSAS.

Our audit of the financial statements of the Municipality of Alcala disclosed misstatements totaling P7,008,145.24 in absolute value as follows:

Account	Asset	Liability	Prior Period Adjustment/ Revenue/ Expense	Total
Other Maintenance and Operating Expenses			P 3,409,866.00	P 3,409,866.00
Donations			2,667,296.00	2,667,296.00
Other Professional Services			500,000.00	500,000.00
Repairs and Maintenance-Building and Other Structures			203,970.00	203,970.00
Repairs and Maintenance-Infrastructure Assets			38,600.00	38,600.00
Prepaid Insurance	94,206.62			94,206.62
Insurance Expenses			94,206.62	94,206.62
Total	**P94,206.62**	**P -**	**P6,913,938.62**	**P7,008,145.24**

VI. Summary of Significant Audit Observations and Recommendations

The significant audit observations and recommendations for CY 2025 other than the bases for the modified opinion that need immediate attention and action by the Municipality of Alcala are as follows:

1. The year-end balance of the Due to National Government Agencies account totaling ₱6.174 million could not be relied upon due to the non-return to the source agencies of unutilized fund transfers amounting to ₱1.066 million, despite the completion of the projects, and which have remained non-moving for a period of 8 to 10 years, contrary to Paragraph 27 of the International Public Sector Accounting Standards 1 and COA Circular No. 94-013 dated December 13, 1994.

We recommended that the Management direct the Accounting Office to:

A. Facilitate the immediate liquidation of transferred funds and return any unexpended balances to the source agencies;

B. Coordinate with the concerned offices to reconcile the unaccounted balances of the Due to National Government Agencies account; and

C. Prepare the necessary adjusting entries to ensure the reliability and accuracy of the financial information.

2. Inter-agency payables totaling P0.471 million, representing funds withheld and obligated for the payment of taxes, premiums, contributions, and loan amortizations to the Bureau of Internal Revenue, Government Service Insurance System, Home Mutual Development Fund, and Philippine Health Insurance Corporation, remained unreconciled as at December 31, 2025, contrary to Paragraph 27 of the International Public Sector Accounting Standards 1, which may result in misstatements in the affected payable accounts in the financial statements, and may possibly result to the forfeiture of members' claims/benefits, and the imposition of penalties and interests.

   We recommended that the Management direct the Accounting Office to:

   A. Identify the nature and causes of the unreconciled balance amounting to P0.471 million and record the necessary adjusting entries to ensure the fair presentation of the balances of the various Inter-Agency Payable accounts (i.e.,Due to BIR, Due to GSIS, Due to Pag-IBIG, and Due to PhilHealth) in the financial statements;

   B. Maintain separate subsidiary ledgers for each Inter-agency payable account to simplify reconciliation and institutionalize continuous and regular reconciliation of the balances of Inter-Agency Payable accounts with the actual remittances made; and
   C. Ensure the immediate settlement of identified unremitted amounts to avoid forfeiture of employees' benefits/claims and prevent the imposition of corresponding penalties and interests for late payment/remittance.

3. Insurable properties of the Municipality, amounting to ₱410.089 million, were not covered under the property insurance of the General Insurance Fund of the Government Service Insurance System. In addition, the Property Inventory Form was not prepared and submitted to the Office of the Auditor on or before April 30, 2025, as required. These lapses are not in compliance with the Property Insurance Law and COA Circular No. 2018-002 dated May 31, 2018, thereby exposing certain Agency properties to the risk of non-indemnification in case of damage or loss due to fortuitous events.

   We recommended that the Management, through the General Services Officer, prepare the required Property Inventory Form as the basis for the general insurance coverage, submit a copy of the PIF to the Office of the Auditor on or before April 30 of each year, and ensure that all insurable assets and properties are covered by appropriate insurance with the Government Service Insurance System under the General Insurance Fund.

VII. Summary of Total Suspensions, Disallowances and Charges

The status of suspensions, disallowances, and charges as of December 31, 2025 is summarized as follows:

Particulars	Beginning Balance (January 1, 2025)	This period January 1 to December 31, 2025		Ending Balance (December 31, 2025)
		NS/ND/NC	NSSDC	
Notice of Suspension	-	-	-	₱ -
Notice of Disallowance	-	-	-	-
Notice of Charge	-	-	-	-
Total	₱ -	₱ -	₱ -	₱ -

VIII. Status of Implementation of Prior Years' Audit Recommendations

The status of implementation of prior year's audit recommendations embodied in the CY 2024 Annual Audit Report are summarized as follows:

Implemented	10
Not Implemented	3
Not Implemented and Reiterated in CY 2025 AAR	-
Total	13